



Figure 55.6 The double bottom pattern is barely discernible within the rounding bottom on the weekly scale.

In December, as he was flipping through his charts, he came across what appeared to be a mild double bottom. On the daily chart the two bottoms in August and November 1992 were barely discernible (remember, this is the weekly scale). Was it a valid chart pattern, and should he buy the stock now?

“The retrace between the two bottoms was not high enough and the two bottoms were not clear enough to be worth considering,” he told me. He justified his action by thinking that if he was having a hard time spotting the chart pattern, then others would have the same trouble. If no one spots the chart pattern, then price may not rise or behave like he expected.

When he flipped to the weekly chart, it changed the characterization of what he was seeing. On his screen was an obvious rounding bottom. The volume pattern supported the conclusion: receding as price declined and rounding up as price rose. So, he decided to wait for the rounding bottom to stop near the left rim at about 21.38.